

## **1. What is vendor onboarding?**

Vendor onboarding is the process of validating and approving a new supplier before ABC Company can purchase goods or services from them.

## **2. When is vendor onboarding required?**

Vendor onboarding is required when:

- The vendor is not present in the approved vendor list
- The vendor is new to ABC Company
- The vendor provides high-risk services
- The vendor handles confidential data
- The vendor provides software, cloud, security, or consulting services

## **3. Required Vendor Documents**

New vendors must provide:

- Company registration certificate
- GST certificate
- PAN details
- Bank account details
- Contact person details
- Service description
- Tax declaration
- Signed NDA, if required
- Security questionnaire, if handling company data

## **4. High-Risk Vendor Categories**

The following vendors require additional review:

- Cloud service providers
- Cybersecurity vendors
- Payroll vendors

- Legal service providers
- Data processing vendors
- Customer data handling vendors
- Financial service vendors

## **5. Vendor Approval Process**

The standard vendor onboarding process is:

1. Employee submits vendor onboarding request
2. Procurement reviews business need
3. Finance validates tax and banking details
4. Security reviews data and system access risk
5. Legal reviews contract terms, if required
6. Procurement marks vendor as approved or rejected

## **6. Vendor Onboarding SLA**

Standard vendor onboarding takes **5 to 10 business days**.

High-risk vendors may take longer because of security, legal, or compliance review.

## **7. Can an employee directly purchase from a new vendor?**

No. Employees cannot directly purchase from a new vendor unless the vendor is approved or an exception is approved by Procurement.

## **8. Who approves vendor exceptions?**

Vendor exceptions require approval from:

- Department Head
- Procurement Manager
- Finance Manager
- Security Team, if data access is involved